MBA: 8109 RESEARCH METHODS



Week 8: Using Secondary Data & Collecting Data Through Observation

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By the end of this session, you should be able to

- **Identify** types and sources of secondary data relevant to business research
- **Evaluate** the suitability, validity and reliability of secondary data for a given study
- **Design** a data extraction sheet: variables, source and period, unit of analysis, coding rules
- **Distinguish** participant observation from structured observation
- **Design** a structured observation schedule

Where this lands in your Concept Paper

- Chapter Three — data collection methods and sources
- Chapter Three — validity and reliability of the data
- Chapter Three — ethics and access permissions
- Appendix — data extraction sheet
- Appendix — observation schedule

Three types of secondary data

Data originally collected for another purpose — reanalysed to answer your research question (Saunders et al., Ch. 8)

Document

- Text: annual and integrated reports, board minutes, policies, emails, press releases, web pages
- Non-text: recordings, images, video, social media content

Kenya: NSE-listed company reports; Hansard; county integrated development plans

Survey-based

- Censuses
- Continuous and regular surveys
- Ad hoc surveys

Kenya: 2019 Population & Housing Census; KDHS; KIHBS; FinAccess; Afrobarometer

Multiple-source

- Snapshot: compiled for one point in time or area
- Longitudinal: time series built from several sources

Kenya: KNBS Economic Survey; CBK statistical bulletins; World Bank WDI

Raw vs compiled: raw data have had little processing; compiled data have been selected or summarised — know which you hold, because it limits what you can analyse.

Case discussion: where business data actually sit



Databases

- Bloomberg, Refinitiv, Orbis
- World Bank WDI, IMF data
- Afrobarometer, DHS microdata

Watch: subscription access; changing definitions across vintages



Company records

- Annual and integrated reports
- Board minutes, HR and ERP records
- CMA and NSE filings

Watch: access permission; selective disclosure; restatements



Government statistics

- KNBS Economic Survey, Census
- CBK Bank Supervision Report
- KHIS / DHIS2 health data

Watch: aggregation level; revisions; reporting gaps

MINI-CASE

Credit risk and profitability in Kenyan commercial banks, 2015–2025

- Which two sources would you combine, and why?
- What breaks the series? Think of the 2016–2019 rate cap and IFRS 9 from 2018
- Mergers and acquisitions: how do you handle banks that exit or combine?

Is it fit for your study? A three-stage test

1 Overall suitability
Measurement validity: does it measure your construct?
Coverage: right population, period, and the variables you need?

2 Precise suitability
Reliability and validity: reputation of the source, transparency of the collection method, consistency over time

3 Costs and benefits
Time and money to access and clean it, weighed against the value it adds to answering your objectives

Adapted from Saunders et al., Ch. 8

Strengths

- Fewer resources; fast access
- Unobtrusive
- Longitudinal and comparative
- Permanent; others can check it

Limitations

- Built for another purpose
- Definitions or aggregation may not fit
- Access can be restricted or costly
- No control over original quality

Anatomy of a data extraction sheet

Variables captured

Name, code and operational definition of each variable — each one traced to an objective and to your operationalisation table in Chapter Two

Source and period

Exact document or database, edition, table or page, years covered, and date accessed — so another researcher can find the same figure

Unit of analysis

What one row represents: a firm-year, a county-month, a board meeting, a policy document

Coding rules

How values are recorded: units, decimals, dummy codes, missing-data code (e.g. −99), and rules for conflicting or restated figures

Also on the sheet

- Header: study title, extractor, date, version
- Sampling frame: which firms, documents or records are included and excluded
- Quality control: second extractor on a sample of records
- Audit trail: notes column for every judgement call

Worked example, then your turn

Code	Variable	Operational definition	Source and location	Period	Unit	Coding rule
ROA	Profitability	Profit after tax ÷ total assets (%)	Audited annual report: income statement, balance sheet	2015–2025	Bank-year	2 d.p.; use restated figure where available; missing = −99
NPL	Credit risk	Gross NPLs ÷ gross loans (%)	CBK Bank Supervision Annual Report, bank tables	2015–2025	Bank-year	If report and CBK differ, use CBK; flag in notes
BSIZE	Board size	Directors at financial year-end	Annual report: governance statement	2015–2025	Bank-year	Count; exclude alternate directors
CAP	Rate-cap regime	Interest rate cap in force	Banking (Amendment) Act 2016; repeal 2019	2015–2025	Year	1 = FY2017–FY2019; 0 otherwise



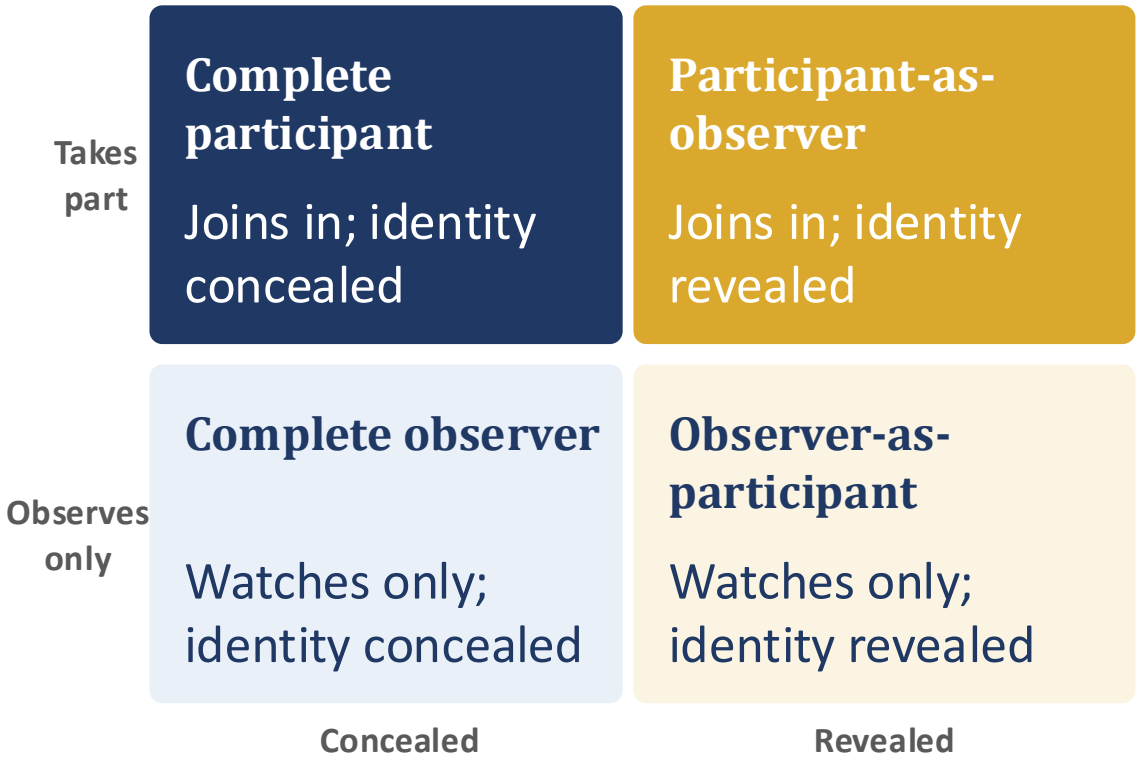
Practical — 10 minutes

Draft a one-page extraction sheet for one documentary or database source on your own topic. Carry it into Chapter Three as an appendix.

- At least four variables, each linked to an objective
- Name the source precisely, with period and unit of analysis
- Write coding rules a stranger could follow
- Swap with a neighbour: can they extract the same value?

Participant vs structured observation

Participant observation: four researcher roles



Ethics: concealed roles need strong justification and SU-ISERC approval.

	Participant	Structured
Leaning	Interpretivist; inductive	Positivist; deductive
Asks	What does it mean? Why?	How often? How long?
Data	Field notes, reflections	Counts, durations, codes
Instrument	The researcher	Observation schedule
Main threats	Observer bias; role ethics	Observer effect; coding error
Example	Shadowing ward handovers to study team culture	Timing customer queues at bank branches

Designing a structured observation schedule

1 Define
behaviours from your objectives and constructs

2 Categorise
into codes that are mutually exclusive and exhaustive

3 Choose mode
event, interval or duration sampling

4 Pilot and train
observers on real sessions

5 Test agreement
between observers before full data collection

Example: customer service at a bank branch — 5-minute intervals

Interval	Customers in queue	Tellers serving	Greeted on arrival (Y/N)	Service time (min)	Complaint raised (Y/N)
09:00–09:05	7	3	Y	4.5	N
09:05–09:10	11	3	N	6.0	Y
09:10–09:15					

Header also records: observer, date, branch, day type (e.g. month-end), and any unusual events.

Threats to reliability

Subject error: an untypical day

Time error: an untypical hour

Observer error: codes applied differently

Observer effect: people act differently when watched

Carrying this week into Chapter Three

Data collection

Name each secondary source precisely and say why it fits your objectives; describe any observation and the role you take

Validity and reliability

Show the three-stage evaluation of secondary data; report agreement between observers

Ethics and access

Permissions for company records; Kenya Data Protection Act 2019; justification for any concealed role

Appendices

Your data extraction sheet and, where used, your structured observation schedule

Before the next session

- Finish your one-page extraction sheet
- Test it on three real records from your source
- Revise the coding rules where you hesitated
- Read Saunders Ch. 8 (pp. 342–389) and Ch. 9 (pp. 390–439)